

24PSCV00137 24PSCV00137

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Case Number: 24PSCV00137 Hearing Date: September 1, 2026 Dept: 6

CASE

NAME: Manuel Fernandez, trustee of the Pena Family

Revocable Trust dated November 9, 2022 v. Shmuel Y. Mahgerefteh, et al.

Defendant

Giselle G. De Alba's Demurrer to the First Amended Complaint of Plaintiff

Martha Pena

TENTATIVE

RULING

The Court SUSTAINS Defendant Giselle G. De Alba's Demurrer to the First Amended Complaint of Plaintiff Martha Pena as to the First, Second, Third, Fourth, Fifth, Sixth, Seventh and Eighth Causes of Action without leave to amend.

Defendant Giselle G. De Alba is ordered to give notice of the Court's ruling within five calendar days of this order.

BACKGROUND

This is a real property loan dispute. On January 12, 2024, plaintiff Manuel Fernandez, trustee of the Pena Family Revocable Trust dated November 9, 2022 (Fernandez) filed this action (Case Number 24PSCV00137) against defendants Shmuel Y. Mahgerefteh (Mahgerefteh), Law Offices of Richard G. Witkin APC (Witkin) and Does 1 through 50, alleging causes of action for declaratory relief, unfair and

unlawful business practice, injunctive relief, cancellation of instruments, rescission based on unconscionability, and accounting.

On March 27, 2025, plaintiff Martha Pena (Pena) filed Case Number 25PSCV01099 against defendant Manuel Fernandez, Does 1 through 15, and Roe Business Entities 1 through 15, alleging causes of action for elder abuse, quiet title, and fraud & undue influence.

On June 9, 2025, the Court found this case related to Case Number 25PSCV01099 and designated this case (Case Number 24PSCV00137) the lead case. On June 16, 2025, the Court ordered these cases consolidated with Case Number 24PSCV00137 designated as the lead case.

On September 18, 2025, Pena filed an amendment to the complaint, substituting Shmuel Y. Mahgerefteh in place of Doe 1. On December 4, 2025, Pena filed an amendment to the complaint, substituting Manuel Fernandez, Trustee of the Pena Family Revocable Trust dated Nov. 9, 2022 in place of Doe 2. On January 20, 2026, Pena filed an amendment to the complaint, substituting Ashwood TD Services, a limited liability company in place of Doe 3. On the same date, Pena filed an amendment to the complaint, substituting Sheina Saquillo Trinidad, an individual in place of Doe 4. On the same date, Pena filed an amendment to the complaint, substituting Giselle G. De Alba, an individual in place of Doe 5.

On January 20, 2026, Pena filed a First Amended Complaint (Pena's FAC) against defendants Manuel Fernandez, Trustee of the Pena Family Revocable Trust dated November 9, 2022, Shmuel Mahgerefteh, Ashwood TD Services, Sheina Saquillo Trinidad, Giselle G. De Alba (De Alba), Does 1 through 15, and Roe Business Entities 1 through 15, alleging causes of action for financial elder abuse, violation of California Foreclosure Consultant Law, conversion, violation of Penal Code §496, cancellation of written instruments, quiet title, accounting, and imposition of constructive trust.

On May 13, 2026, Shmuel Y. Mahgerefteh filed a cross-complaint against Manuel Fernandez, individually and as Trustee of Pena Family Revocable Living Trust Dated November 9, 2022, Martha Pena, and All Persons Claiming Any Legal or Equitable Right, Title, Estate, Lien or Interest in the Real Property Described in the Complaint Adverse to Cross-Complainant's Title, or Any Cloud Upon Cross-Complainant's Title Thereto, and Roes 1 through 25, alleging causes of

action for equitable lien and declaratory relief.

On July 2, 2026, De Alba demurred to Pena's FAC. On August 27, 2026, Pena filed an extremely late opposition. On August 27, 2026, De Alba replied to the opposition.

LEGAL STANDARD

A demurrer is a pleading used to test the legal sufficiency of other pleadings. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading (complaint, answer or cross-complaint). (Code Civ. Proc., § 422.10; see *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994 (*Donabedian*)). It is not the function of the demurrer to challenge the truthfulness of the complaint; and for purposes of ruling on the demurrer, all facts pleaded in the complaint are assumed to be true. (*Id.* at pp. 993-994.)

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demurrer can be used only to challenge defects that appear on the face of the pleading under attack; or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian*, *supra*, 116 Cal.App.4th at p. 994.) No other extrinsic evidence can be considered. (*Ion Equip. Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881 [error for court to consider facts asserted in memorandum supporting demurrer]; see also *Afuso v. United States Fid. & Guar. Co.* (1985) 169 Cal.App.3d 859, 862, disapproved on other grounds in *Moradi-Shalal v. Fireman's Fund Ins. Cos.* (1988) 46 Cal.3d 287 [error to consider contents of release not part of court record].)

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demurrer can be utilized where the "face of the complaint" itself is incomplete or discloses some defense that would bar recovery. (*Guardian North Bay, Inc. v. Superior Court* (2001) 94 Cal.App.4th 963, 971-972.) The "face of the complaint" includes material contained in attached exhibits that are incorporated by reference into the complaint, or in a superseded complaint in the same action. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94; see also *Barnett v. Fireman's Fund Ins. Co.* (2001) 90 Cal.App.4th 500, 505 ["[W]e rely on and accept as true the contents of the exhibits and treat as surplusage the pleader's allegations as to the legal effect of the exhibits"].)

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demurrer can only be sustained when it disposes of an entire pleading, cause of action, or affirmative defense. (See Cal. Rules of Court, rule 3.1320, subd. (a); *Poizner v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119; *Kong v. City of Hawaiian Gardens Redev. Agency* (2003) 108 Cal.App.4th 1028, 1046-1047.)

PRELIMINARY ISSUES

The Court notes

that Pena's opposition was due on August 19, 2026. The opposition was not filed until August 27, 2026 and did not substantively address the merits of the demurrer. The Court will not consider the opposition.

The Court also notes De Alba

included a footnote in the demurrer that Pena's verification lacks a translator's oath indicating that Pena understood what she was signing which is required because she also alleges in her FAC that she cannot read or understand English. (Demurrer, 9:7, fn. 2; Pena's FAC, ¶ 21; *Detrick v. Shimada* (2026) 120 Cal.App.5th 170, 177 [English language declaration held incompetent evidence where client only spoke and wrote Japanese and there was no attestation from the interpreter regarding the translation's accuracy].) De Alba did not demur on this basis, so the Court will not decide the issue, but it is worth noting.

DISCUSSION

Meet and Confer

Per Code of Civil Procedure section 430.41, subdivision (a), De Alba was required to meet and confer in person, by telephone, or by video conference before bringing this demurrer. (Code Civ. Proc., § 430.41, subd. (a).) De Alba failed to meet and confer by any of these methods. (See *Caplan Decl.*, ¶¶ 2-4.) Nevertheless, the Court may not overrule a demurrer for failure to adequately meet and confer. (Code Civ. Proc., § 430.41, subd. (a)(4).) The Court will still consider De Alba's demurrer but nevertheless admonishes De Alba to comply with the Code of Civil Procedure going forward.

First Cause of Action – Financial Elder Abuse

“Financial abuse” of an elder or dependent adult occurs when a person or entity does any of the following:

(1) Takes, secretes, appropriates, obtains, or retains real or personal property of an elder or dependent adult for a wrongful use or with intent to defraud, or both.

(2) Assists in taking, secreting, appropriating, obtaining, or retaining real or personal property of an elder or dependent adult for a wrongful use or with intent to defraud, or both.

(3) Takes, secretes, appropriates, obtains, or retains, or assists in taking, secreting, appropriating, obtaining, or retaining, real or personal property of an elder or dependent adult by undue influence, as defined in Section 15610.70.

(Welf.

& Inst. Code § 15610.30, subd. (a).)

Elder abuse claims are statutory causes of action and therefore must be pleaded with particularity. (See *Covenant Care, Inc. v. Superior Court* (2004) 32 Cal.4th 771, 790, citing *Lopez v. Southern Cal. Rapid Trans. Dist.* (1985) 40 Cal.3d 780, 795.)

De Alba demurs to the First Cause of Action for financial elder abuse on the grounds that it fails to state facts sufficient to constitute a cause of action. De Alba contends that liability for “assisting” financial elder abuse is governed by an aiding-and-abetting standard that requires actual knowledge of the underlying wrong. De Alba argues that Pena’s FAC’s allegation that she “should have known” of Fernandez’s scheme is legally inadequate because the test is actual knowledge. De Alba further argues that the only knowledge allegation is circular and conclusory, premised on an informed and belief assertion that she assisted Fernandez in prior similar schemes, and therefore insufficient to plead knowledge. Finally, De Alba asserts she breached no duty because a notary has no duty to certify ownership, and because Probate Code section 18100 protects a person who assists a trustee in good faith without actual knowledge of any improper exercise of trust powers.

The Court finds Pena’s FAC fails to allege sufficient facts to

state a cause of action for financial elder abuse against De Alba. The extent of Pena's FAC's allegations against De Alba is that she notarized a couple of documents. It alleges no facts showing how Pena knew or had reason to know that the documents she was notarizing were fraudulent or that she was otherwise assisting in financial elder abuse. Pena's conclusory allegations that De Alba "knew or should have known of the criminal scheme..." are insufficient. (Pena's FAC, ¶¶ 15-16; *Casey v. U.S. Bank Nat. Assn.* (2005) 127 Cal.App.4th 1138, 1152 (*Casey*), italics added ["[O]n demurrer, a court must carefully scrutinize whether the plaintiff has alleged the bank had actual knowledge of the underlying wrong it purportedly aided and abetted"].) The Court further construes Pena's lack of substantive opposition as a concession that De Alba's arguments are meritorious. (*D.I. Chadbourne, Inc. v. Superior Court* (1964) 60 Cal.2d 723, 728, fn. 4 [where nonmoving party fails to oppose a ground for a motion, "it is assumed that [nonmoving party] concedes" that ground].)

Based on the foregoing, the Court SUSTAINS the demurrer to the First Cause of Action as to De Alba without leave to amend.

Second Cause of Action – Violation of California Foreclosure Consultant Law

It shall be a violation for a foreclosure consultant to:

- (a) Claim, demand, charge, collect, or receive any compensation until after the foreclosure consultant has fully performed each service the foreclosure consultant contracted to perform or represented that he or she would perform.
- (b) Claim, demand, charge, collect, or receive any fee, interest, or any other compensation for any reason which exceeds 10 percent per annum of the amount of any loan which the foreclosure consultant may make to the owner.
- (c) Take any wage assignment, any lien of any type on real or personal property, or other security to secure the payment of compensation. That security shall be void and unenforceable.
- (d) Receive any consideration from any third party in connection with services rendered to an owner unless that consideration is fully disclosed to the owner.

(e) Acquire any interest in a residence in foreclosure from an owner with whom the foreclosure consultant has contracted. Any interest acquired in violation of this subdivision shall be voidable, provided that nothing herein shall affect or defeat the title of a bona fide purchaser or encumbrancer for value and without notice of a violation of this article. Knowledge that the property was "residential real property in foreclosure," does not constitute notice of a violation of this article. This subdivision may not be deemed to abrogate any duty of inquiry which exists as to rights or interests of persons in possession of residential real property in foreclosure.

(f) Take any power of attorney from an owner for any purpose.

(g) Induce or attempt to induce any owner to enter into a contract which does not comply in all respects with Sections 2945.2 and 2945.3.

(h) Enter into an agreement at any time to assist the owner in arranging, or arrange for the owner, the release of surplus funds after the trustee's sale is conducted, whether the agreement involves direct payment, assignment, deed, power of attorney, assignment of claim from an owner to the foreclosure consultant or any person designated by the foreclosure consultant, or any other compensation.

(Civ.
Code, § 2945.4.)

De Alba demurs to the Second Cause of Action for violation of California Foreclosure Consultant Law on the grounds that it fails to state facts sufficient to constitute a cause of action. De Alba argues that the statute applies only to a "foreclosure consultant," i.e., a person who, for compensation, performs or offers services represented to save a homeowner's residence from foreclosure. De Alba contends Pena's FAC does not allege that she ever made any representation to Plaintiff, let alone to anyone that would make her a foreclosure consultant. De Alba emphasizes that she is a notary who never met Plaintiff.

The Court finds Pena's FAC fails to allege sufficient facts to state a cause of action for violation of California Foreclosure Consultant Law against De Alba. Pena's FAC alleges no facts indicating that De Alba made any representations or offers to Pena to perform foreclosure services, performed foreclosure services for Pena, or received compensation for such services from

Pena. Pena's FAC only alleges that De Alba notarized documents, which does not fall within the scope of foreclosure consultant activities vis-à-vis Civil Code section 2945.1. (See Pena's FAC, ¶¶ 15-16; Civ. Code, § 2945.1 [definition of "foreclosure consultant" and actions that comprise foreclosure consultant services].) The Court further construes Pena's lack of substantive opposition as a concession that De Alba's arguments are meritorious. (*D.I. Chadbourne, Inc. v. Superior Court*, supra, 60 Cal.2d at p. 728, fn. 4.)

Accordingly, the Court SUSTAINS the demurrer to the Second Cause of Action as to De Alba without leave to amend.

Third Cause of Action – Conversion

To state a cause of action for conversion, the plaintiff must allege facts demonstrating the plaintiff owns or has the right to possess certain personal property, the defendant acted in a manner inconsistent with plaintiff's property rights, and damages. (*Regent All. Ltd. v. Rabizadeh* (2014) 231 Cal.App.4th 1177, 1181.) Conversion is a strict liability tort; questions of the defendant's good faith, knowledge, and motive are ordinarily immaterial. (*Welco Elecs., Inc. v. Mora* (2014) 223 Cal.App.4th 202, 208.)

De Alba demurs to the Third Cause of Action for conversion on the grounds that it fails to state facts sufficient to constitute a cause of action. De Alba recites the elements of conversion as the plaintiff's ownership or right to possession of personal property, the defendant's disposition of that property inconsistent with the plaintiff's rights and resulting damages. De Alba argues Pena's FAC alleges none of these elements as to her. De Alba further argues that any theory that she aided and abetted a conversion fails for the same reasons as the financial elder abuse claim, i.e., the absence of actual knowledge.

The Court finds Pena's FAC fails to allege sufficient facts to state a cause of action for conversion against De Alba. Pena's FAC alleges no facts indicating that De Alba acted in a manner inconsistent with Pena's property rights; it only alleges that Pena notarized documents, which is insufficient for conversion. (See Pena's FAC, ¶¶ 15-16.) Any aiding-and-abetting theory fails for lack of allegations demonstrating actual knowledge. (See *Casey*, supra, 127 Cal.App.4th at p. 1152.) The Court further construes Pena's lack of substantive opposition as a concession that De Alba's arguments are

meritorious. (D.I. Chadbourne, Inc. v. Superior Court, supra, 60 Cal.2d at p. 728, fn. 4.)

Therefore, the Court SUSTAINS the demurrer to the Third Cause of Action as to De Alba without leave to amend.

Fourth Cause of Action – Violation of Penal Code §496

“(a) Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained, shall be punished by imprisonment in a county jail for not more than one year, or imprisonment pursuant to subdivision (h) of Section 1170.” (Penal Code, § 496, subd. (a).)

“Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney’s fees.” (Penal Code, § 496, subd. (c).)

De Alba demurs to the Fourth Cause of Action for violation of Penal Code section 496 on the grounds that it fails to state facts sufficient to constitute a cause of action. De Alba argues that Penal Code section 496 reaches a person who buys, receives, conceals, sells, or withholds property known to be stolen or obtained by theft. De Alba contends Pena’s FAC does not allege that she bought, received, sold, or withheld any such property, or aided in doing so. De Alba further argues that any aiding-and-abetting theory fails for the same knowledge-based reasons as the financial elder abuse claim.

The Court finds Pena’s FAC fails to allege sufficient facts to state a cause of action for violation of Penal Code section 496 against De Alba. Pena’s FAC does not allege that De Alba bought, received, concealed, sold, or withheld any of Pena’s property. (Pena’s FAC, ¶¶ 15-16.) Again, any aiding-and-abetting theory fails for lack of allegations demonstrating actual knowledge. (See Casey, supra, 127 Cal.App.4th at p. 1152.) The Court further construes Pena’s lack of substantive opposition as a concession that De Alba’s arguments are meritorious. (D.I. Chadbourne, Inc. v. Superior Court, supra, 60 Cal.2d at p. 728, fn. 4.)

Based on the foregoing, the Court
SUSTAINS the demurrer to the Fourth Cause of Action as to De Alba
without leave to amend.

Fifth Cause of Action – Cancellation of Written Instruments

“To prevail on a claim to cancel an instrument, a plaintiff must
allege and prove (1) the instrument is void or voidable; and (2) he or she has
a reasonable apprehension of serious injury including pecuniary loss or the
prejudicial alteration of their position. [Citation.]” (Lauckhart v. El
Macero Homeowners Assn. (2023) 92 Cal.App.5th 889, 900.)

De Alba demurs to the Fifth Cause of Action for cancellation of
written instruments on the grounds that it fails to state facts sufficient to
constitute a cause of action and that it is uncertain. De Alba argues that Pena's
FAC alleges no facts showing that Plaintiff is entitled to—or is even
seeking—any of these equitable remedies as to De Alba. De Alba contends
the claims are also uncertain as applied to her. De Alba asserts that it
appears she was named in these claims by mistake or inadvertence.

The Court finds Pena's FAC fails to allege sufficient facts to
state a cause of action for cancellation of instruments against De Alba. Pena's
FAC alleges no facts showing that De Alba did anything other than notarize documents
or that De Alba holds any interest that requires cancellation. (See Pena's FAC,
¶¶ 15-16.) The Court further construes Pena's lack of substantive opposition as
a concession that De Alba's arguments are meritorious. (D.I. Chadbourne,
Inc. v. Superior Court, *supra*, 60 Cal.2d at p. 728, fn. 4.)

Accordingly, the Court SUSTAINS the demurrer to the Fifth Cause of
Action as to De Alba without leave to amend.

Sixth Cause of Action – Quiet Title

To state a cause of action for quiet title, “[t]he complaint shall
be verified and shall include all of the following:

(a) A description of the property that is the subject of the
action. In the case of tangible personal property, the description shall
include its usual location. In the case of real property, the description shall

include both its legal description and its street address or common designation, if any.

(b) The title of the plaintiff as to which a determination under this chapter is sought and the basis of the title. If the title is based upon adverse possession, the complaint shall allege the specific facts constituting the adverse possession.

(c) The adverse claims to the title of the plaintiff against which a determination is sought.

(d) The date as of which the determination is sought. If the determination is sought as of a date other than the date the complaint is filed, the complaint shall include a statement of the reasons why a determination as of that date is sought.

(e) A prayer for the determination of the title of the plaintiff against the adverse claims.

(Code
Civ. Proc., § 761.020.)

De Alba demurs to the Sixth Cause of Action for quiet title on the grounds that it fails to state facts sufficient to constitute a cause of action and that it is uncertain. De Alba's arguments here are the same as those made above for the Fifth Cause of Action.

The Court finds Pena's FAC fails to allege facts sufficient to state a cause of action for quiet title. Pena's FAC alleges no facts showing that De Alba claims any interest in the property adverse to Pena. (See Pena's FAC, ¶¶ 15-16.) The Court further construes Pena's lack of substantive opposition as a concession that De Alba's arguments are meritorious. (D.I. Chadbourne, Inc. v. Superior Court, *supra*, 60 Cal.2d at p. 728, fn. 4.)

Therefore, the Court SUSTAINS the demurrer to the Sixth Cause of Action as to De Alba without leave to amend.

Seventh Cause of Action – Accounting

To state a cause of action for an accounting, the plaintiff must allege facts demonstrating, “[a] cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting. [Citations.]” (Teselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179.)

De Alba demurs to the Seventh Cause of Action for accounting on the grounds that it fails to state facts sufficient to constitute a cause of action and that it is uncertain. De Alba’s arguments here are the same as those made above for the Fifth Cause of Action.

The Court finds Pena’s FAC fails to allege facts sufficient to state a cause of action for an accounting. Pena’s FAC alleges no relationship between Pena and De Alba, and no facts that De Alba holds Pena’s money or property that could be the subject of an account. (See Pena’s FAC, ¶¶ 15-16.) The Court further construes Pena’s lack of substantive opposition as a concession that De Alba’s arguments are meritorious. (D.I. Chadbourne, Inc. v. Superior Court, supra, 60 Cal.2d at p. 728, fn. 4.)

Accordingly, the Court SUSTAINS the demurrer to the Seventh Cause of Action as to De Alba without leave to amend.

Eighth Cause of Action – Imposition of Constructive Trust

“A constructive trust is an involuntary equitable trust created by operation of law as a remedy to compel the transfer of property from the person wrongfully holding it to the rightful owner.” (Meister v. Mensinger (2014) 230 Cal.App.4th 381, 399.)

De Alba demurs to the Eighth Cause of Action for imposition of constructive trust on the grounds that it fails to state facts sufficient to constitute a cause of action and that it is uncertain. De Alba’s arguments here are the same as those made above for the Fifth Cause of Action.

The Court finds Pena’s FAC fails to allege facts sufficient to state a cause of action for imposition of constructive trust. Pena’s FAC

alleges no facts that De Alba holds any of Pena's property. (See Pena's FAC, ¶¶ 15-16.) Also, although not raised in De Alba's demurrer, the Court notes that imposition of constructive trust is not an independent cause of action. (Glue-Fold, Inc. v. Slautterback Corp. (2000) 82 Cal.App.4th 1018, 1023, fn. 3.) The Court further construes Pena's lack of substantive opposition as a concession that De Alba's arguments are meritorious. (D.I. Chadbourne, Inc. v. Superior Court, supra, 60 Cal.2d at p. 728, fn. 4.)

Based on the foregoing, the Court SUSTAINS the demurrer to the Eighth Cause of Action as to De Alba without leave to amend.

CONCLUSION

The Court SUSTAINS Defendant Giselle G. De Alba's Demurrer to the First Amended Complaint of Plaintiff Martha Pena as to the First, Second, Third, Fourth, Fifth, Sixth, Seventh and Eighth Causes of Action without leave to amend.

Defendant Giselle G. De Alba is ordered to give notice of the Court's ruling within five calendar days of this order.